29 Oct 2026 17:48:08 ET | 16 pages

Innolight (300308.SZ/3308.HK)

3Q26 Operating Profit Broadly In Line, NP Missed on Non-Op

CITI'S TAKE

Innolight's 3Q26 revenue of Rmb27,769mn (+172% YoY, +25% QoQ) was 3% below both CITIe and BBGe, while operating profit of Rmb11,748mn (+210% YoY) was broadly in line (-1%/+2% vs CITIe/ BBGe). Net profit missed CITIe/BBGe by 9%/4%, mainly due to non-operating loss including a post-tax investment loss of Rmb450mn and foreign exchange loss of Rmb300mn. Key takeaways from investors briefing: 1) management highlighted that 2027E demand is well covered by firm customer POs with no order cuts to date; 2) reaffirmed confidence in continued 800G/1.6T growth and an emerging 2.4T/NPO ramp from 2H27E; 3) Despite tight components supply, company secured via long-term agreements and new suppliers, while capacity expansion remains concentrated in Thailand/Southeast Asia. We fine-tune our projections with new TP of Rmb1,212/HK$1,394 for A/H shares, maintain Buy.

3Q26 Result — Revenue of Rmb27,769mn (+25% QoQ, +172% YoY) was 3%/3% below CITIe/BBGe. Gross profit of Rmb12,943mn (+25% QoQ, +196% YoY) was 4%/1% below CITIe/BBGe, with gross margin of 46.6% running -0.8ppts/+0.8ppts vs CITIe/BBGe. OPEX of Rmb1,195mn was 29%/27% below CITIe/BBGe (OPEX ratio -1.6ppts/-1.4ppts vs CITIe/BBGe), reflecting continued operating leverage from scale. Operating profit of Rmb11,748mn was broadly in line (-1%/-2% vs CITIe/BBGe). Net profit of Rmb8,587mn missed CITIe/BBGe by 9%/4%, in-line with certain investors' prior expectation, mainly due to the one-off investment fair-value loss and FX loss rather than underlying margin pressure.

Model Update — We adjust our 2026/27/28E revenue by 0.0%/-6.0%/+2.3%, and net profit by -2.0%/-6.0%/+1.8%, mainly reflecting the flow-through of the 3Q26 non-operating investment and forex losses into 2026E estimates, updated timing assumptions for the 2.4T/NPO product ramp in 2027-28E with stronger next-generation product demand visibility feeding into 2028E. TP lower to Rmb1,212/HK$1,394 for A/H share, new TP is derived from 15.8x (vs prior 16.2x, updated 1SD below 3Y average) 2027E EPS.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Data Summary

															Current Fiscal Year		Next Fiscal Year	
						Rating		Short-Term	Target Price						EPS		EPS	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Old	New	View	Old	New	ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	Old	New	Old	New
Innolight	300308.SZ	Rmb	582.050	686,745	29 Oct 15:00	1	nc	-	1,325.000	1,212.000	108.2	1.4	109.6	Dec-25	30.464	29.846	81.839	76.952
Innolight	3308.HK	HK$	706.50	808,264	29 Oct 16:10	1	nc	-	1,524.00	1,394.00	97.3	1.3	98.6	Dec-25	30.464	29.846	81.839	76.952

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk
ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change
Source: Citi Research
^Catalyst Watch

Figure 1. 3Q26 Results Summary

	3Q26					2Q26		3Q25	
Rmb m	Actual	Citi	Diff%	BBG	Diff%	Actual	QoQ	Actual	YoY
Revenue	27,769	28,572	-2.8%	28,671	-3.1%	22,281	24.6%	10,216	171.8%
Cost of Revenue	14,826	15,023	-1.3%	15,532	-4.5%	11,938	24.2%	5,845	153.7%
Gross profit	12,943	13,550	-4.5%	13,138	-1.5%	10,343	25.1%	4,371	196.1%
OPEX	1,195	1,689	-29.3%	1,625	-26.5%	1,033	15.6%	584	104.6%
Operating profit	11,748	11,861	-0.9%	11,513	2.0%	9,310	26.2%	3,787	210.2%
Pre-tax profit	10,607	12,053	-12.0%	10,766	-1.5%	9,695	9.4%	3,959	167.9%
Net profit	8,587	9,460	-9.2%	8,934	-3.9%	7,917	8.5%	3,137	173.7%
Ratio									
Gross margin	46.6%	47.4%	-0.8ppts	45.8%	0.8ppts	46.4%	0.2ppts	42.8%	3.8ppts
OPEX to Sales ratio	4.3%	5.9%	-1.6ppts	5.7%	-1.4ppts	4.6%	-0.3ppts	5.7%	-1.4ppts
Operating margin	42.3%	41.5%	0.8ppts	40.2%	2.2ppts	41.8%	0.5ppts	37.1%	5.2ppts
Net margin	30.9%	33.1%	-2.2ppts	31.2%	-0.2ppts	35.5%	-4.6ppts	30.7%	0.2ppts

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Source: Company Reports and Citi Research Estimates, Bloomberg

Figure 2. Model Update

	2026E			2027E			2028E		
Rmb m	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue	104,216	104,216	0.0%	260,690	277,352	-6.0%	466,940	456,338	2.3%
Cost of Revenue	53,914	53,914	0.0%	132,321	141,485	-6.5%	231,428	226,127	2.3%
Gross profit	50,302	50,302	0.0%	128,369	135,867	-5.5%	235,512	230,211	2.3%
OPEX	5,902	6,220	-5.1%	14,170	15,139	-6.4%	24,883	24,292	2.4%
Operating profit	44,400	44,082	0.7%	114,199	120,727	-5.4%	210,629	205,919	2.3%
Non-op	(986)	574	-271.6%	762	1,537	-50.5%	2,006	2,965	-32.3%
Pre-tax profit	43,415	44,656	-2.8%	114,960	122,265	-6.0%	212,635	208,884	1.8%
Net profit	34,464	35,177	-2.0%	91,428	97,235	-6.0%	169,895	166,898	1.8%
Ratio (%)									
Gross margin	48.3	48.3	0.0ppts	49.2	49.0	0.3ppts	50.4	50.4	0.0ppts
OPEX to Sales ratio	5.7	6.0	-0.3ppts	5.4	5.5	0.0ppts	5.3	5.3	0.0ppts
Operating margin	42.6	42.3	0.3ppts	43.8	43.5	0.3ppts	45.1	45.1	0.0ppts
Net margin	33.1	33.8	-0.7ppts	35.1	35.1	0.0ppts	36.4	36.6	-0.2ppts

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Source: Citi Research Estimates

Figure 3. Citi vs Consensus

	2026E			2027E			2028E		
Rmb m	Citi	BBG cons.	Diff	Citi	BBG cons.	Diff	Citi	BBG cons.	Diff
Revenue	104,216	104,406	-0.2%	260,690	199,761	30.5%	466,940	284,651	64.0%
Cost of Revenue	53,914	56,793	-5.1%	132,321	106,824	23.9%	231,428	150,280	54.0%
Gross profit	50,302	47,613	5.6%	128,369	92,937	38.1%	235,512	134,371	75.3%
OPEX	5,902	6,117	-3.5%	14,170	11,012	28.7%	24,883	13,403	85.7%
Operating profit	44,400	41,497	7.0%	114,199	81,925	39.4%	210,629	120,968	74.1%
Pre-tax profit	43,415	41,427	4.8%	114,960	81,890	40.4%	212,635	118,681	79.2%
Net profit	34,464	32,878	4.8%	91,428	64,525	41.7%	169,895	95,164	78.5%
Ratio (%)									
Gross margin	48.3	45.6	2.7ppts	49.2	46.5	2.7ppts	50.4	47.2	3.2ppts
OPEX to Sales ratio	5.7	5.9	-0.2ppts	5.4	5.5	-0.1ppts	5.3	4.7	0.6ppts
Operating margin	42.6	39.7	2.9ppts	43.8	41.0	2.8ppts	45.1	42.5	2.6ppts
Net margin	33.1	31.5	1.6ppts	35.1	32.3	2.8ppts	36.4	33.4	3.0ppts

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Source: Citi Research Estimates, Bloomberg

Key takeaways from Investors Briefing

3Q26 Financial Performance & One-off Items: Management confirmed that excluding one-off items, core net profit was approximately Rmb9.4bn (~34% margin), underscoring that special gains/losses do not impair underlying profitability. Two one-off items were specified: a pre-tax fair-value loss of Rmb620mn (post-tax ~Rmb450mn) from a share-price pullback in a previously made strategic investment in an upstream supplier, and a pre-tax FX loss of

Rmb390mn (post-tax ~Rmb300mn) linked to stronger CNY following the H-share fund raising in late July. Free cash flow turned positive in 3Q26, recovering to a healthy level after a negative 2Q26 caused by concentrated capex and material-prepayment outflows.

Supply Chain Security & Component Management: 3Q26 revenue growth was driven primarily by expanding 800G/1.6T shipments, with 1.6T revenue growth accelerating further; core customer share allocation and order flow remained stable with prices and gross margin holding steady. To manage tight key-material supply, the company adopted advance stockpiling, long-term agreements, prepayments and new supplier onboarding. On DSP, supply remains tight industry-wide, company receives full required allocation with firm pricing, supporting confidence in stable margins. Thailand Sep flood-related shipment delays were fully resolved by early October, with low affected-inventory exposure.

2027–2028 Demand Outlook & Next-Generation Product Roadmap: CSP customer demand remains strong, with orders already covering the full 2027E calendar year via firm, binding customer purchase orders, and no order cuts or guidance downgrades to date; 800G/1.6T demand is expected to keep growing rapidly, with 1.6T shipment growth rate expected to outpace 800G in 2027E. Next-generation 2.4T/NPO/XPO products are expected to ramp gradually from 2H27E, with capacity and materials already being prepared; select key customers have already issued clear 2028E demand guidance showing further growth, with more customers expected to provide 2028E guidance between late this year and 1Q27E.

Margin Outlook & Capacity Expansion: Gross margin has stayed above 40% for three consecutive quarters; management expects stability via technology optimization, supply-chain management and yield improvement, with further upside possible once higher-speed NPO products ramp at scale. Industry pricing for 800G/1.6T has stayed stable versus 1H26 with rational, non-destructive competition expected to continue into 2027E. Capacity expansion remains concentrated in Thailand and other Southeast Asian countries, with high-intensity capex guided to continue next year to prepare for 2H27E/2028E ramp; the effective tax rate is expected to stay at 13–14% on R&D tax deduction policy benefits. Management expects coherent optical module demand under Scale-Across architectures to grow at a 70%+ CAGR over the next few years, according to third party research.

Bull/Bear: Innolight (300308.SZ)

Rmb 1,918.000	Rmb 1,212.000	Rmb 469.000
▲230% Upside	▲108% Upside	▼19% Downside



Spread 249pp
Current Price and expected returns (upside/downside) as of 29 Oct 2026

BULL Assumptions

- 25x FY27E forward PE, 5-year average
- Higher-than-expected 800G/1.6T Shipment and ASP
- Higher-than-expected margin

BASE Assumptions

- 15.8x FY27E forward PE, 1SD below 3-year average

BEAR Assumptions

- 8.7x FY27E forward PE, minimum PE level in down cycle
- Lower-than-expected 800G/1.6T Shipment and ASP
- Lower-than-expected margin

Bull/Bear: Innolight (3308.HK)

HK$ 2,205.00 ▲212% Upside

HK$ 1,394.00 ▲97% Upside

HK$ 539.00 ▼24% Downside



Spread 236pp
Current Price and expected returns (upside/downside) as of 29 Oct 2026

BULL Assumptions

- 25x FY27E forward PE, 5-year average
- Higher-than-expected 800G/1.6T Shipment and ASP
- Higher-than-expected margin

BASE Assumptions

- 15.8x FY27E forward PE, 1SD below 3-year average

BEAR Assumptions

- 8.7x FY27E forward PE, minimum PE level in down cycle
- Lower-than-expected 800G/1.6T Shipment and ASP
- Lower-than-expected margin

Innolight

Company description

Zhongji Innolight, founded in 2008, is now a world leader in development of optical transceivers. It provides a wide range of high-speed optical solutions for optical communications networking, especially for AI and data center applications by global top-tier data center operators and cloud service providers. In addition, Innolight provides optical transceivers solutions for enterprise data networking applications, metro and long-haul transport networking, and mobile-access networking applications.

Investment strategy

We have a Buy rating on Innolight A-shares. Innolight is the global No.1 optical interconnects solution provider as of 2025 by revenue, according to LightCounting. We believe the company's leading position in the AI era is supported by its: (1) comprehensive product offerings, (2) scalable production capacity, (3) cutting-edge technology advancement and R&D capability, (4) flexible and resilient supply chain, and (5) strong relationships with global leading CSP/AI customers.

Valuation

Our target price for Innolight A-shares of Rmb1,212 is based on 15.8x FY27E forward PE, set 1SD below Innolight A-share's three-year historical mean, reflecting the sector-wide overhang on FCC rules impact. That target P/E is also equivalent to a very slight premium to the direct peers' current trading average, and we believe is reasonable in the context of 130%/150% forecast three-year revenue/earnings CAGR. It also is in sync with our valuation approach to Eoptolink, which is likewise set at a discount to historical mean.

Risks

Downside risks that could impede the shares from reaching our target price include high customer concentration; intense competition; market demand cyclicality; technology risks; supply chain and manufacturing risks; and geopolitical and trade risks. Specific risks include1) slower-than-expected AIDC investments; 2) weaker-than-expected telecoms market expansion; 3) margin pressures due to price competition; and 4) China-US tech disputes intensifying.

Innolight

Company description

Zhongji Innolight, founded in 2008, is now a world leader in development of optical transceivers. It provides a wide range of high-speed optical solutions for optical communications networking, especially for AI and data center applications by global top-tier data center operators and cloud service providers. In addition, Innolight provides optical transceivers solutions for enterprise data networking applications, metro and long-haul transport networking, and mobile-access networking applications.

Investment strategy

We have a Buy rating on Innolight H-shares. Innolight is the global No.1 optical interconnects solution provider as of 2025 by revenue, according to LightCounting. We believe the company's leading position in the AI era is supported by its: (1) comprehensive product offerings, (2) scalable production capacity, (3) cutting-edge technology advancement and R&D capability, (4) flexible and resilient supply chain, and (5) strong relationships with global leading CSP/AI customers.

Valuation

Our target price for Innolight H-shares of HK$1,394 is based on 15.8x FY27E forward PE, set 1SD below Innolight A-share's three-year historical mean, reflecting the sector-wide overhang on FCC rules impact. That target P/E is also equivalent to a very slight premium to the direct peers' current trading average, and we believe is reasonable in the context of 130%/150% forecast three-year revenue/earnings CAGR. It also is in sync with our valuation approach to Eoptolink, which is likewise set at a discount to historical mean.

Risks

Our quant risk-rating screen suggests a High Risk flag for the H-shares given their short trading history (listed July 2026); however, we think a High Risk flag is not appropriate given the shares already have a lengthy trading history in the Shenzhen market, and also given the company's scale and track record. Downside risks that could impede the shares from reaching our target price include high customer concentration; intense competition; market demand cyclicality; technology risks; supply chain and manufacturing risks; and geopolitical and trade risks. Specific risks include1) slower-than-expected AIDC investments; 2) weaker-than-expected telecoms market expansion; 3) margin pressures due to price competition; and 4) China-US tech disputes intensifying.

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Appendix A-1

ANALYST CERTIFICATION

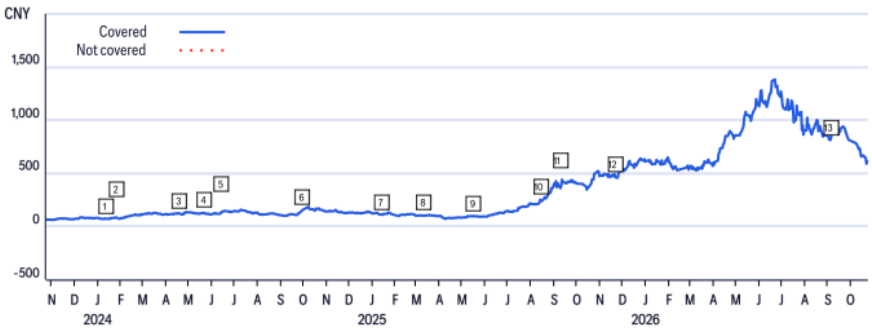
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IMPORTANT DISCLOSURES

Innolight (300308.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Kyna Wong



	Date	Rating	Target Price	Closing Price
1	11-Jan-24 05:38:30	1	*115.71	73.85
2	28-Jan-24 20:10:48	1	*125.71	82.83
3	21-Apr-24 21:16:15	1	*146.43	121.93
4	21-May-24 19:59:43	1	*161.43	126.74
5	16-Jun-24 18:24:04	1	*183.00	138.30
6	07-Oct-24 20:25:22	1	*226.00	154.86
7	13-Jan-25 10:22:26	1	*215.00	110.80
8	11-Mar-25 18:00:35	1	*130.00	101.78
9	16-May-25 15:07:25	1	*132.00	97.83
10	13-Aug-25 14:24:12	1	*347.00	252.00
11	09-Sep-25 18:56:12	1	*569.00	359.29
12	23-Nov-25 18:05:33	*--	-	464.01
13	06-Sep-26 17:30:49	*1	*1,325.00	814.00

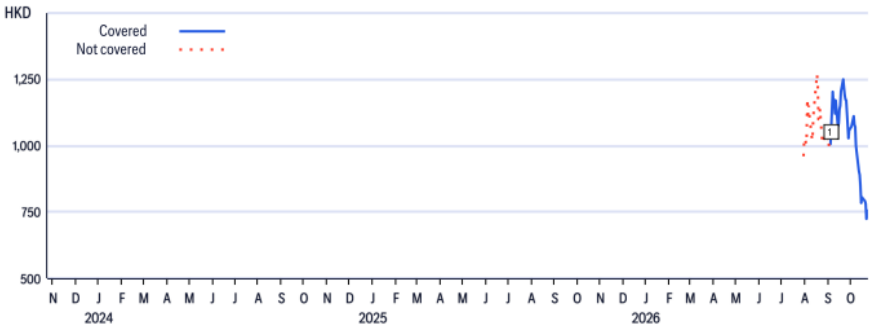
*Indicates Change

Rating/target price changes above reflect Eastern Time

Innolight (3308.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Kyna Wong



	Date	Rating	Target Price	Closing Price
1	06-Sep-26 17:30:49	*1	*1,524.00	1,006.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

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Citi Research Equity Ratings Distribution

	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.
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